

Employing in Kuwait

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant Arabic-language contracts registered with the Ministry of Social Affairs and Labor (PAM)
- **Monthly payroll** — salary payments in KWD via mandatory electronic bank transfer
- **No income tax** — Kuwait levies no personal income tax on employment income, for nationals or expatriates
- **End-of-service gratuity** — statutory lump-sum accrual for expatriate employees
- **Leave and termination management** — notice periods and entitlements guidance

Employment Conditions

Contracts & Probation

Kuwait's PIFSS (Public Institution for Social Security) applies only to Kuwaiti nationals — expatriate employees are entirely exempt from mandatory social security contributions, receiving end-of-service gratuity instead.

Item	Detail	Legal Basis
Probation period	Maximum 100 days	Kuwait Labour Law
Contract language	Must be in Arabic and registered with PAM	Kuwait Labour Law
AS'HAL Portal salary reporting	Mandatory salary reporting for compliance, effective November 2025	2025 administrative reform

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	8 hrs/day, 48 hrs/week	Kuwait Labour Law
Overtime premium	125% of hourly rate (150% for rest day/holiday work)	Kuwait Labour Law

Statutory Contributions (2026)

Employee Type	Employer Obligation	Notes
Kuwaiti nationals (PIFSS)	Percentage of basic salary + allowances, capped at KWD 2,750/month contribution base (2026)	Mandatory for Kuwaiti nationals; some GCC nationals may also be covered by bilateral agreement
Non-GCC expatriates	No PIFSS contribution required	Expatriates receive end-of-service gratuity instead of social security
Health insurance (expatriates)	Mandatory employer-provided health insurance for the full contract duration	Kuwait Labour Law

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	30 calendar days/year	Employer	Kuwait Labour Law minimum
Sick Leave	Up to 75 days/year on a sliding pay scale	Employer	Requires a medical certificate
Maternity Leave	70 days full pay	Employer	Job-protected

★ HERO TIP

Kuwait's end-of-service gratuity applies a tiered reduction for resignation under Article 53 — nothing under 3 years' service, half between 3 and 5 years, two-thirds between 5 and 10 years, and full gratuity at 10+ years. This is calculated on gross salary (basic + all allowances), which is more generous than the "basic salary only" calculation used in the UAE, Qatar and Saudi Arabia. Confirm resignation vs. termination classification with your HeroForce EOR before finalising a Kuwait exit.

Payroll, Tax & Contributions

Total Cost Example (Expatriate Employee) — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
End-of-service gratuity accrual (illustrative, 15 days/year ≈ 4.2%)	\$126.00	4.20%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,726.00	~124.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Expatriate employees have no personal income tax and no PIFSS contribution — take-home pay equals gross salary. This example excludes mandatory employer-provided health insurance, which varies by provider and coverage level.

Termination & Separation

Notice periods are typically set by contract (commonly 1–3 months), with statutory minimums under the Labour Law where the contract is silent. Gratuity accrues at 15 days' wage per year for the first 5 years and 1 month per year beyond 5 years, subject to the Article 53 resignation tiering described above.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
25–26 February	National Day and Liberation Day	National
~March/April	Eid al-Fitr (multi-day)	National (Islamic calendar)
~May/June	Eid al-Adha (multi-day)	National (Islamic calendar)
~June/July	Islamic New Year	National (Islamic calendar)
~September	Prophet's Birthday (Mawlid)	National (Islamic calendar)

Islamic calendar holidays shift roughly 10–11 days earlier each Gregorian year and are confirmed by the Kuwaiti government closer to the date.

Ready to hire in Kuwait?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Kuwait employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).